



NSW Education Standards Authority

2018 HIGHER SCHOOL CERTIFICATE EXAMINATION

Economics

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 100

Section I – 20 marks (pages 2–8)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

Section II – 40 marks (pages 9–20)

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

Section III – 20 marks (pages 21–23)

- Attempt either Question 25 or Question 26
- Allow about 35 minutes for this section

Section IV – 20 marks (page 24)

- Attempt either Question 27 or Question 28
- Allow about 35 minutes for this section

Section I

20 marks

Attempt Questions 1–20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1–20.

- 1** A key objective of decentralised wage determination is to increase
- A. work–life balance.
 - B. equality of income.
 - C. labour productivity.
 - D. full-time employment.
- 2** From which of the following would a developing economy be most likely to receive funds to build a bridge?
- A. World Bank
 - B. World Trade Organisation
 - C. International Monetary Fund
 - D. Organisation for Economic Cooperation and Development
- 3** The value of trade between countries *A* and *B* increases while the value of trade between countries *A* and *C* decreases.
- All other things being equal, this most likely occurred because country *A*
- A. implemented a free trade agreement with country *B*.
 - B. implemented a free trade agreement with country *C*.
 - C. raised import tariffs on both country *B* and country *C*.
 - D. reduced import tariffs on both country *B* and country *C*.
- 4** A reduction in a country's company tax rate is most likely to
- A. depreciate the country's currency.
 - B. reduce the profitability of the country's firms.
 - C. increase frictional unemployment in the country.
 - D. increase foreign direct investment in the country.

- 5 A country's central bank wishes to improve the international competitiveness of the country's exports.

Which combination of actions by the central bank is most likely to achieve this objective?

	<i>Foreign exchange transaction</i>	<i>Official interest rate movement</i>
A.	Sell domestic currency	Increase
B.	Buy domestic currency	Increase
C.	Sell foreign currency	Decrease
D.	Buy foreign currency	Decrease

- 6 Residents in a country town experience a significant slow-down in the speed of their internet service as a result of a large increase in usage from newly-connected households.

The slower internet speed is most likely a result of

- A. free riding.
B. rivalry in consumption.
C. non-excludability in usage.
D. the internet being a public good.
- 7 There is a significant increase in official interest rates in the United States of America (US).

All other things being equal, which of the following would be true?

	<i>Impact on foreign exchange markets</i>	<i>Value of Australian dollar in terms of \$US</i>
A.	Increased demand for \$US	Depreciates
B.	Decreased demand for \$US	Depreciates
C.	Increased supply of \$US	Appreciates
D.	Decreased supply of \$US	Appreciates

- 8 Country A's Lorenz curve is closer to the line of perfect equality than Country B's Lorenz curve.

All other things being equal, which of the following is true?

- A. Country A has a larger Gini coefficient than country B.
 - B. Country B has a more equitable distribution of income than country A.
 - C. Country A's Lorenz curve will move closer to country B's Lorenz curve if country A's top marginal income tax rate is decreased.
 - D. Country B's Lorenz curve will move closer to country A's Lorenz curve if country B's top marginal income tax rate is decreased.
- 9 An Australian company purchases a foreign company that pays a dividend to Australian shareholders.

How would these transactions be recorded on Australia's balance of payments?

	<i>Purchase of the company</i>	<i>Payment of the dividend</i>
A.	Debit on the financial account	Credit on the current account
B.	Credit on the financial account	Debit on the current account
C.	Credit on the capital account	Debit on the financial account
D.	Debit on the capital account	Credit on the current account

- 10 Alex has worked full time for the last two years at her current place of work.

Under Australia's national system for determining minimum employment standards, and assuming all other things being equal, Alex is NOT guaranteed

- A. redundancy pay.
- B. four weeks annual leave per year.
- C. notice of termination of her employment.
- D. protection against unfair dismissal by her employer.

- 11** Which change in budget outcomes from Year 1 to Year 2 represents an expansionary fiscal stance?

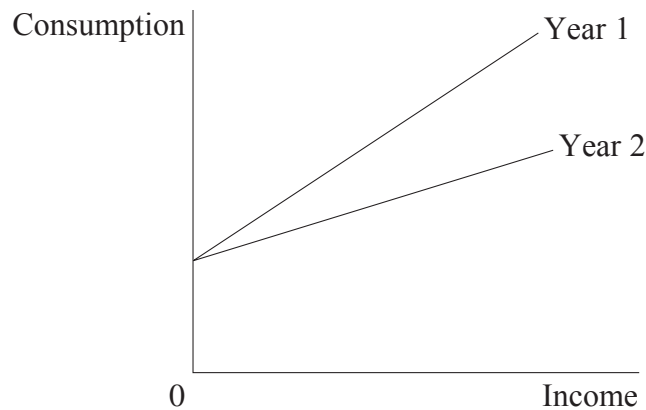
	<i>Budget outcome in Year 1</i>	<i>Budget outcome in Year 2</i>
A.	\$5 billion surplus	\$10 billion surplus
B.	\$10 billion deficit	\$5 billion deficit
C.	\$10 billion deficit	\$15 billion surplus
D.	\$10 billion surplus	\$5 billion deficit

- 12** The *Fair Work Act 2009* (Cth) facilitated the move from a state-based to a national system of industrial relations.

Which of the following provides the best justification for this move?

- A. To reduce the power of national employee unions
 - B. To reduce compliance costs for state governments
 - C. Because private sector companies employ workers in many states
 - D. Because state governments typically employ workers only in their own state
- 13** Which of the following statements about government regulation is most correct?
- A. All government regulations reduce efficiency.
 - B. Regulations restricting the behaviour of firms can increase efficiency.
 - C. Microeconomic reform requires the removal of government regulation.
 - D. Government regulations restrict the entry of transnational corporations.
- 14** In Australia, returns to enterprise typically represent a lower proportion of household income than returns to labour because
- A. the company tax rate is higher than some marginal personal income tax rates.
 - B. lower interest rates have significantly reduced household income from interest.
 - C. most workers are employed by firms and many family businesses make a loss or small profit.
 - D. households usually comprise at least one worker and most workers are employed by large firms.

- 15 The diagram shows the relationship between a country's consumption and income in Year 1 and Year 2.



Which of the following could explain the change from Year 1 to Year 2?

- A. A rise in asset prices
 - B. A rise in interest rates
 - C. A fall in the unemployment rate
 - D. A fall in the goods and services tax rate
- 16 The table shows economic information for a hypothetical economy.

<i>Year</i>	<i>Terms of trade (TOT)</i>	<i>Trade weighted index (TWI)</i>
1	100	50
2	110	60

Which of the following best explains the changes in the TOT and the TWI from Year 1 to Year 2?

- A. There is an increase in global demand for the goods this economy exports and imports.
- B. The economy's central bank increases the official cash rate relative to global interest rates.
- C. Global demand for the goods this economy imports has increased relative to global demand for the goods this economy exports.
- D. Global demand for the goods this economy exports has increased relative to global demand for the goods this economy imports.

- 17** For a particular country, the underlying inflation rate is greater than the headline inflation rate.

This is most likely to have been caused by a significant

- A. reduction in electricity production.
 - B. expansion in global oil production.
 - C. depreciation of the domestic currency.
 - D. increase in the country's minimum wage.
- 18** The table shows economic information for a hypothetical economy experiencing cyclical unemployment.

Non-accelerating inflation rate of unemployment (NAIRU)	5%
Marginal propensity to consume (MPC)	0.8
Change in national income (Y) required to reach full employment	\$5 billion

The government of this hypothetical economy increases its expenditure by \$1 billion.

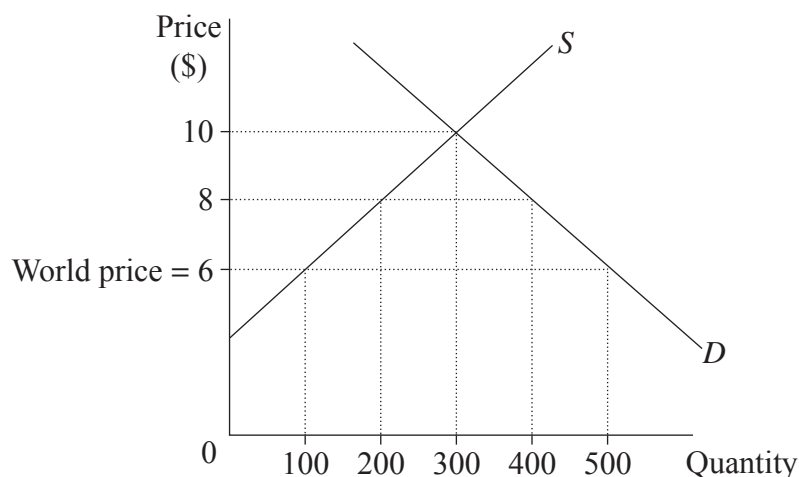
All other things being equal, what will be the consequence of this action?

- A. National income will rise by \$1 billion.
- B. The rate of unemployment will equal the NAIRU.
- C. The NAIRU will exceed the rate of unemployment.
- D. The economy will experience a rapid increase in inflation.

- 19 Country *A* and country *B* have flexible exchange rates and are considering forming a monetary union. Country *A* is currently experiencing a recession while country *B* is currently experiencing a boom.

Which of the following is most likely to be true immediately after country *A* and country *B* form the monetary union?

- A. Imported inflation will be lower in country *B*.
 - B. It will be cheaper for foreign tourists to visit country *A*.
 - C. It will be cheaper for foreign firms to acquire assets in country *B*.
 - D. The international competitiveness of country *A*'s exporters will increase.
- 20 The diagram shows domestic demand and supply curves for a hypothetical economy.



As a result of a change in trade policy in this economy, government revenue increases by \$400, the revenue of local producers declines by \$1400 and the revenue of foreign producers increases by \$1600.

Which of the following is most likely to describe the change in trade policy that occurred?

- A. A tariff of \$0 has been replaced with a tariff of \$2.
- B. A tariff of \$4 has been replaced with a quota of 200.
- C. A quota of zero has been replaced with a tariff of \$2.
- D. A quota of zero has been replaced with a quota of 200.

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Centre Number

Economics

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Student Number

Section II Answer Booklet

40 marks

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

Instructions

- Write your Centre Number and Student Number at the top of this page.
- Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
- Extra writing space is provided at the back of this booklet. If you use this space, clearly indicate which question you are answering.

Please turn over

Question 21 (10 marks)

- (a) Outline ONE cause of recent low wage growth in Australia.

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- (b) Explain how a low unemployment rate can co-exist with a high level of underemployment.

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Question 21 continues on page 11

Question 21 (continued)

- (c) Explain the effects of low wage growth on the Australian economy.

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End of Question 21

Question 22 (10 marks)

- (a) Increased efficiency is a rationale for microeconomic reform. **1**

Define *efficiency* in this context.

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- (b) Outline why reform of a single factor market is likely to have a greater impact on the economy than reform of a single product market. **2**

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- (c) Why might it be difficult to implement microeconomic reform during a period of low economic growth? **3**

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Question 22 continues on page 13

Question 22 (continued)

- (d) Explain how labour market reforms can help government achieve the objectives of full employment and price stability in the long term.

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End of Question 22

Question 23 (10 marks)

- (a) Explain ONE cost and ONE benefit of globalisation.

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Question 23 continues on page 15

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Question 23 (continued)

- (b) Explain how Australia has contributed to the process of globalisation.

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End of Question 23

Question 24 (10 marks)

The table shows economic information for a hypothetical economy with a flexible exchange rate.

	2016	2017
CPI	100	105
Nominal GDP (\$ billion)	1 000	1 050
Labour force ('000)	12 000	12 120
Full-time employed ('000)	8 000	7 920
Part-time employed ('000)	3 400	3 500
Net foreign debt (\$ billion)	900	1 000
Net foreign liabilities (\$ billion)	1 050	1 050

- (a) With reference to the table, calculate the unemployment rate in 2016. Show all working.

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- (b) With reference to the table, calculate the rate of growth in real GDP from 2016 to 2017. Show all working.

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Question 24 continues on page 17

Question 24 (continued)

- (c) Explain the relationship between *net foreign debt* and *net foreign liabilities*. **2**

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- (d) Justify why the economy in the table is likely to have experienced a depreciation of its exchange rate between 2016 and 2017. **4**

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End of Question 24

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Economics

Section III

20 marks

Attempt either Question 25 or Question 26

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - use the information provided
 - apply relevant economic terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
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Question 25 (20 marks)

Please turn over

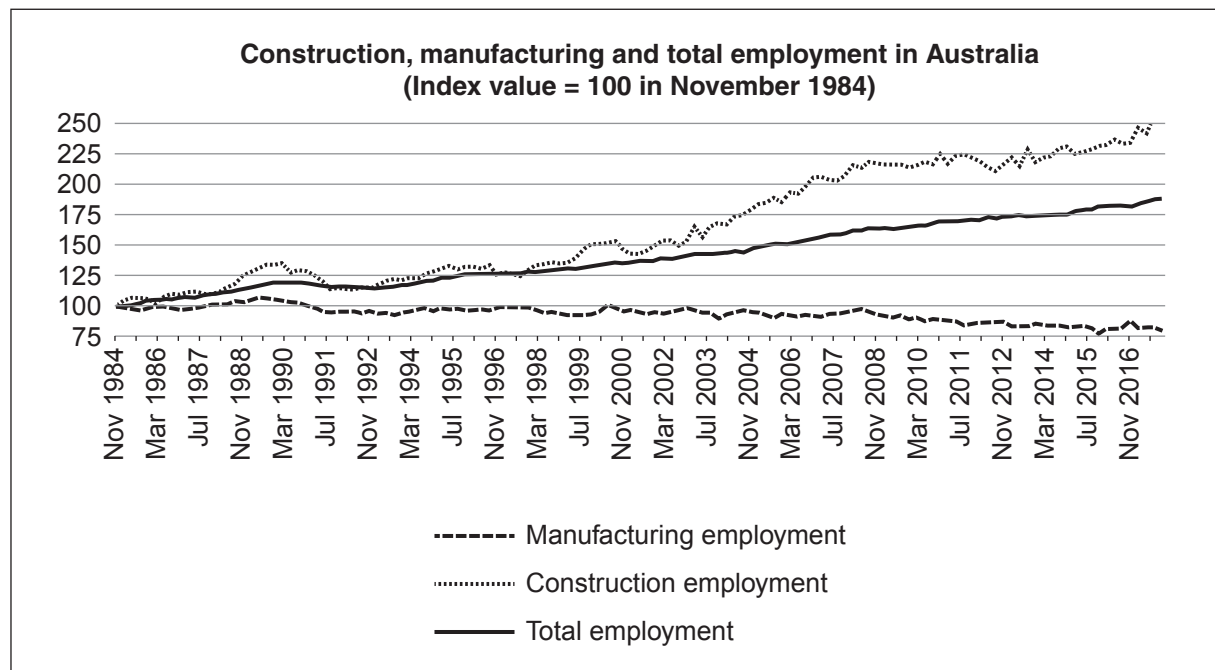
Question 25 (20 marks)

Assess the extent to which the move towards free trade restricts the Australian Government's ability to achieve its economic objectives of full employment, distribution of income and external stability. In your response, refer to the economic information provided.

The gains from free trade tend to be dispersed while the losses tend to be concentrated. In response, governments can attempt to compensate the losers.

GEOFFREY GARRETT, 1 February 2017

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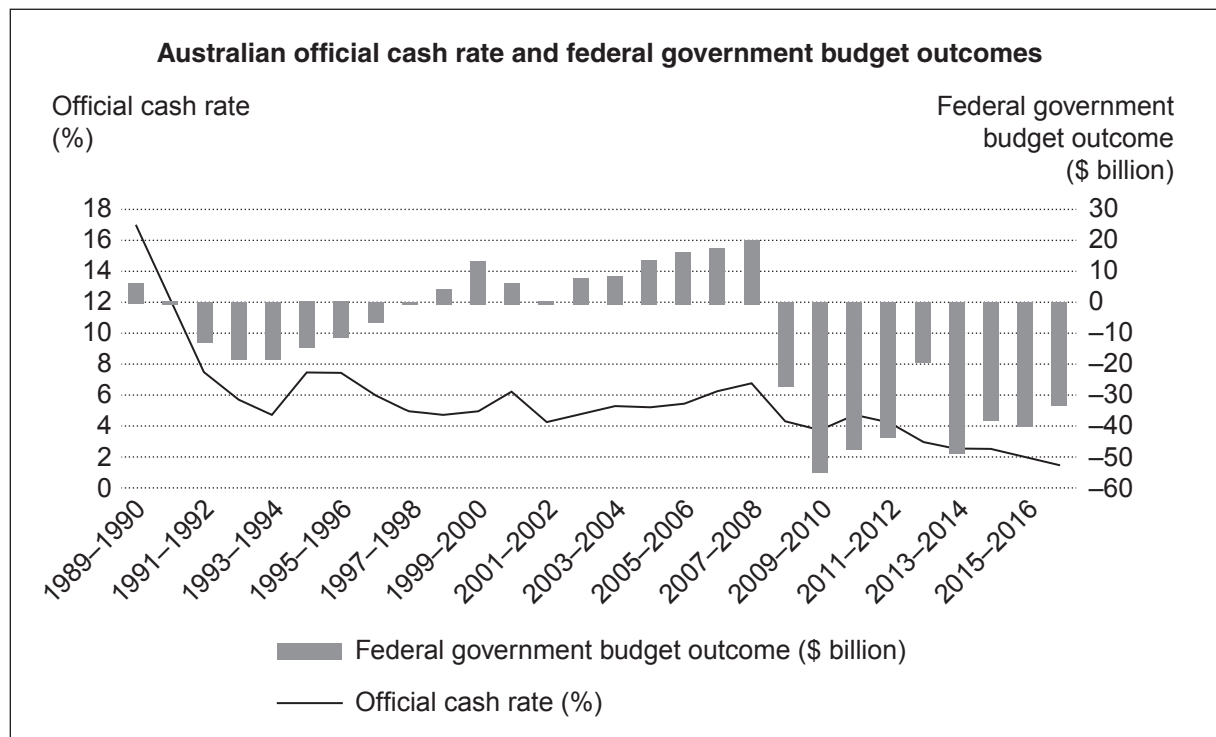
Based on data supplied by: Australian Bureau of Statistics;
ABS data series-A84090240X, A84090246L and A84932381A,
Catalogue #6291.055.003 Labour Force Table 04

OR

Question 26 (20 marks)

Assess the extent to which Australia's economic growth since the last recession in 1991 can be attributed to macroeconomic policy decisions made by the Australian Government. In your response, refer to the economic information provided.

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Adapted from the 'Monetary Policy Changes – A2'. Used by permission from the Reserve Bank of Australia

Please turn over

Section IV

20 marks

Attempt either Question 27 or Question 28

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant economic information, terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Question 27 (20 marks)

Evaluate the success of government policies designed to achieve environmental sustainability in Australia.

OR

Question 28 (20 marks)

Assess the importance of factors that determine the size and composition of Australia's current account.

End of paper